

Q 1. In an insurance policy 'Maturity Benefit' is also known as _____ .

- ☐ Death Cover
- ☐ Death Benefit
- ☐ Maturity Advantage
- ☐ Survival Advantage
- ☐ Survival Benefit

☒ UnAttempted

CORRECT ANSWER:

Survival Benefit

Q 2. Motor insurance covers which of the following ?

- ☐ Damage to individual
- ☐ Damage to car only
- ☐ Damage to property belonging to third parties
- ☐ All of the above
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

All of the above

Explanation:

Motor insurance covers damage to car, individual and property belonging to third parties.

Q 3. What must businesses keep in mind about their customers in order to be successful ?

- ☐ Whether they can recommend them to other people
- ☐ How they will use the goods or services
- ☐ How much they can pay
- ☐ Their needs, interests and concerns
- ☐ All of the above

☒ UnAttempted

CORRECT ANSWER:

Their needs, interests and concerns

Explanation:

Businesses must keep in mind their customers' needs, interests and concerns in order to be successful.

Q 4. Mr. Akshay has bought a Money Back Policy with a sum assured of Rs. 2,00,000 for a tenure of 20 years. The policy specifies a payment of 20% of the sum assured every 5 years and 40% on the maturity of the policy. If Mr. Akshay dies anytime during the policy period, then the insurance company, along with the payments made till that date, will pay the sum assured of Rs. 2,00,000 and the policy will be closed. The money back policy bought by Mr. Akshay is a combination of which of the below plans?

- ☐ 4 term assurance plans of 5, 10, 15 and 20 years and 1 pure endowment plan of 20 years
- ☐ 4 pure endowment plans of 5, 10, 15 and 20 years and 1 term assurance plan of 20 years
- ☐ 4 endowment assurance plans of 5, 10, 15 and 20 years and 1 term assurance plan of 20 years
- ☐ 4 endowment assurance plans of 5, 10, 15 and 20 years and 1 pure endowment plan of 20 years
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

4 pure endowment plans of 5, 10, 15 and 20 years and 1 term assurance plan of 20 years

Explanation:

Mr. Akshay has bought a money back policy which is a combination of the below 5 plans:

1. 3 pure endowment plans which promise to pay Rs. 40,000 each at the end of 5 years, 10 years and 15 years respectively.
2. 1 pure endowment plan which promises to pay Rs. 80,000 at the end of 20 years.
3. 1 term assurance plan which promises to pay Rs. 2,00,000 if Mr. Akshay dies anytime during the tenure of the policy (20 years).

Q 5. Which of the below is a reinsurance company?

- ☐ Life Insurance Corporation (LIC)
- ☐ Oriental Insurance Company Limited
- ☐ United India Insurance Company Limited
- ☐ General Insurance Corporation (GIC)
- ☐ New India Insurance Company Limited

☒ UnAttempted

CORRECT ANSWER:

General Insurance Corporation (GIC)

Q 6. With respect to life cover of some life insurance plans offered by insurance companies, which of the below is possible as an option?

- ☐ The life cover can only be stepped up or kept constant but cannot be stepped down during the tenure of the policy
- ☐ The life cover can be kept constant or stepped up or stepped down during the tenure of the policy
- ☐ The life cover always remains constant throughout the policy and cannot be stepped up or stepped down during the tenure of the policy
- ☐ The life cover can only be stepped down or kept constant but cannot be stepped up during the tenure of the policy
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

The life cover can be kept constant or stepped up or stepped down during the tenure of the policy

Explanation:

In some life insurance plans the life insured can optionally step up, step down or keep the life cover constant during the tenure of the policy.

Q 7. Spreading risk across areas which may not be affected equally or at the same time is called as _____.

- ☐ Transfer
- ☐ Duplication
- ☐ Diversification
- ☐ Separation
- ☐ Arbitration

☒ UnAttempted

CORRECT ANSWER:

Diversification

Explanation:

Diversification is the term used for spreading risk across areas which may not be affected equally or at the same time.

Q 8. Which of these is a LOSS REDUCTION technique ?

- ☐ Separation
- ☐ Duplication
- ☐ Diversification
- ☐ Hedging
- ☐ Only 1,2 and 3

☒ UnAttempted

CORRECT ANSWER:

Only 1,2 and 3

Q 9. _____ is an old and prestigious institution in London that provides useful services to the insurance world

- ☐ Lloyd's
- ☐ Wordsworth's
- ☐ Duckworth's
- ☐ Queen's
- ☐ Spencer's

☒ UnAttempted

CORRECT ANSWER:

Lloyd's

Explanation:

Lloyd's is an old and prestigious institution in London that provides useful services to the insurance world. It was a coffee club from where the concept of insurance is said to have begun. It is a corporation where the members, and not the corporation, underwrite insurance.

Q 10. Which of the following tool(s) is/are used to ensure that the insured is placed in the same financial position as he was prior to the occurrence of the covered incident ?

- ☐ Deduction for Under-Insurance (Condition of Average)
- ☐ Deductibles
- ☐ Maximum amount recoverable in a general insurance policy
- ☐ All of the above
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

All of the above

Q 11. An Underwriter's job includes _____.

- ☐ to check whether insurance can be given or not
- ☐ deciding the terms of the policy
- ☐ deciding the amount of premium to be charged
- ☐ All of the above
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

All of the above

Explanation:

The insurance process starts with an application in writing, called a proposal, made by the person who wants to take insurance and includes details of what they want to insure and the type of cover they require. The proposal is given to an underwriter whose job is to assess the proposal and decide:

- Whether insurance can be given or not;
- If given, what will be the terms of the policy; and
- What will be the amount of premium to be charged

- Q 12. Which of these statement(s) is/are incorrect ?
- ☐ If the risk is not manageable, its better to leave it to fate
 - ☐ Even after taking suitable preventive measures, mishaps do occur
 - ☐ If a risk is retained, it can lead to erosion of capital
 - ☐ All of the above
 - ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

If the risk is not manageable, its better to leave it to fate

- Q 13. When a risk is retained, the implication is that _____ .
- ☐ The cost of damage caused will be borne by the person responsible for damages
 - ☐ The cost of damage caused will be borne by IRDAI
 - ☐ The cost of damage caused will be met by relatives and friends
 - ☐ The cost of damage caused will be met with internal resources
 - ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

The cost of damage caused will be met with internal resources

Explanation:

When risk is retained, it is implied that the cost of the damage will be met out of internal resources. Organisations can meet these costs in two ways:

> from the current revenue, as and when losses occur

> create a special fund specifically to meet these costs in future

- Q 14. Which of the below option is not similar to other four options ?

- ☐ Gain
- ☐ Loss
- ☐ Probability
- ☐ Damage
- ☐ Uncertain

☒ UnAttempted

CORRECT ANSWER:

Gain

Explanation:

Gain as a possibility is there in speculative risks and they are not insurable. All other words must be known and its definitions are necessary.

- Q 15. In the case of personal accident policies, there is no need for assessment of risk, except on the factor of _____ .

- ☐ occupation
- ☐ illness
- ☐ age
- ☐ lifestyle
- ☐ All of the above

☒ UnAttempted

CORRECT ANSWER:

occupation

Explanation:

Personal Accident policies cover death or disablement arising out of accidents of any kind (caused by external, violent and visible means).

In the case of personal accident policies, there is no need for assessment of risk, except on the factor of occupation. The conditions are standard.

- Q 16. Expenses on _____ are not covered in an health insurance policy.

- ☐ critical surgery
- ☐ domiciliary hospitalization
- ☐ child birth
- ☐ hospitalization
- ☐ dental treatment

☒ UnAttempted

CORRECT ANSWER:

dental treatment

- Q 17. When a person takes a Household Insurance Policy, the insurable interest exist at the outset and _____ .

- ☐ on the date the policy is terminated
- ☐ on the date a claim arises
- ☐ on the date the policy document is received by the owner of the house
- ☐ on the date the cancellation period expires
- ☐ on the proposal stage

☒ UnAttempted

CORRECT ANSWER:

on the date a claim arises

Explanation:

A person is said to have an 'insurable interest' when they stand to gain or benefit from the continued existence (safety) and well-being of the person or property insured, and would suffer a financial loss if there is damage to the person or property .

In the case of property insurance insurable interest has to be proved at the time of taking insurance and also at the time of making a claim.

Q 18. A company decides to set up a separate fund specifically to meet losses which other wise would have been insured. What is this called ?

- ☐ Reinsurance
- ☐ Loss Insurance
- ☐ Self Insurance
- ☐ General Insurance
- ☐ Group Insurance

☒ UnAttempted

CORRECT ANSWER:

Self Insurance

Explanation:

Self Insurance is insurance of oneself or one's interests by maintaining a fund to cover possible losses rather than by purchasing an insurance policy.

Q 19. Which of these word closely matches 'money' or 'finances' ?

- ☐ Pecuniary
- ☐ Actuary
- ☐ Underwriter
- ☐ Fidelity
- ☐ Solvency

☒ UnAttempted

CORRECT ANSWER:

Pecuniary

Explanation:

Pecuniary means relating to or consisting of money.

Q 20. If the complainant accepts the recommendation, the insurance company has to comply with the order within _____ and inform the Ombudsman.

- ☐ 7 days
- ☐ 15 days
- ☐ 30 days
- ☐ 45 days
- ☐ 60 days

☒ UnAttempted

CORRECT ANSWER:

15 days

Q 21. With reference to insurance agents, which of these statements is INCORRECT ?

- ☐ The remuneration of agents is by way of commissions
- ☐ They are appointed by insurance companies
- ☐ They are licensed to sell both life and non-life insurance
- ☐ They have to get a license from IRDAI to conduct insurance business
- ☐ The license of an insurance agent is valid for 3 years at a time

☒ UnAttempted

CORRECT ANSWER:

They are licensed to sell both life and non-life insurance

Explanation:

Agents are not licensed to sell both life and non-life insurance. They have to obtain a separate licence for life and for nonlife insurance and can work with only one insurer in each class.

Q 22. What is the policy called in which the premium is paid only once, that is only at the commencement of the policy ?

- ☐ Special Term Policy
- ☐ Limited Premium Policy
- ☐ Flexible Premium Policy
- ☐ Only Premium Policy
- ☐ Single Premium Policy

☒ UnAttempted

CORRECT ANSWER:

Single Premium Policy

Q 23. Mr Rakesh, an Indian national working in Nigeria sought an insurance policy on his life form an insurer. He hid the fact that he worked in Nigeria which was an excluded location for the insure. He died after 7 years from the issue of the policy in Nigeria due to prolonged sickness. A claim was raised under the policy. His passport showed the records of his stay and work permit in Nigeria.

- ☐ The claim could not be repudiated since the policy had complete 7 years and the claim was paid
- ☐ The claim was repudiated because he died in Nigeria
- ☐ The claim was repudiated because he was no longer an Indian national.
- ☐ The claim was repudiated because the insurer was able to prove in court that Mr. Rakesh was a NRI and working in Nigeria before the policy was issued and he had hid the facts while applying for life insurance.
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

The claim was repudiated because the insurer was able to prove in court that Mr. Rakesh was a NRI and working in Nigeria before the policy was issued and he had hid the facts while applying for life insurance.

Q 24. Which of these is an INCORRECT risk classification pair ?

- ☐ Fundamental and Particular
- ☐ Pure and speculative
- ☐ Dynamic and static
- ☐ Important and unimportant
- ☐ Financial and non-financial

☒ UnAttempted

CORRECT ANSWER:

Important and unimportant

Explanation:

Risks are not classified as Important and unimportant. Instead they are classified as Catastrophic and important risks.

Critical or catastrophic, risks are risks where a single event of major magnitude leads to a significantly higher than usual number and/or amount of claims on an insurer. Catastrophic risks are big enough to cause bankruptcy of the owner or even the insurer.

Important risk can be those which upset the family or business finances badly, requiring a lot of time to recover. But such risks may not be categorised as Catastrophic.

Q 25. 'Loss of Profits' insurance falls under _____ category .

- ☐ Personal insurance
- ☐ Miscellaneous insurance
- ☐ Marine cargo insurance
- ☐ Fire insurance
- ☐ Life insurance

☒ UnAttempted

CORRECT ANSWER:

Fire insurance

Explanation:

Fire insurance policies can have a provision to provide for 'loss of profits'. Under this provision, the insurer provides compensation for loss of business and consequential loss of profits due to fire; till normalcy is restored.

Q 26. Death Rates means _____.

- ☐ Uncertainty
- ☐ Indemnity
- ☐ Morbidity
- ☐ Mortality
- ☐ All of the above

☒ UnAttempted

CORRECT ANSWER:

Mortality

Explanation:

Mortality Rate or Death Rate is a measure of the number of deaths (in general, or due to a specific cause) in a particular population, scaled to the size of that population, per unit of time.

Q 27. The risk which can lead to bankruptcy is best described as _____.

- ☐ Financial
- ☐ Dynamic
- ☐ Catastrophic
- ☐ Static
- ☐ Speculative

☒ UnAttempted

CORRECT ANSWER:

Catastrophic

Explanation:

Critical or catastrophic risks are risks where a single event of major magnitude leads to a significantly higher than usual number and/or amount of claims on an insurer. Catastrophic risks are big enough to cause bankruptcy of the owner or even the insurer.

Q 28. _____ Act was amended in 1999 to provide for registration of private insurers to transact insurance business in India and setting up of IRDA.

- ☐ The Insurance Act, 1938
- ☐ The LIC Act 1956
- ☐ The RBI Act 1934
- ☐ Insurance Nationalization Act 1990
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

The Insurance Act, 1938

Explanation:

The Insurance Act, 1938 was amended in 1999 to provide for registration of private insurers to transact insurance business in India. The Insurance Regulatory and Development Authority (IRDA) was set up to regulate insurance business.

Q 29. Which kind of policies are related to Time or Voyage policies ?

- ☐ Air insurance
- ☐ Cargo insurance
- ☐ Fire insurance
- ☐ Hull insurance
- ☐ Accident insurance

☒ UnAttempted

CORRECT ANSWER:

Hull insurance

Explanation:

Time or Voyage policies are issued for hull insurance and are for a fixed term, generally twelve months, or a specific voyage.

Q 30. The policy holder cannot decide the _____ in case of linked insurance policy.

- ☐ Premium
- ☐ Term
- ☐ Sum assured
- ☐ Fund design
- ☐ Choice of funds

☒ UnAttempted

CORRECT ANSWER:

Fund design

Explanation:

Except for fund design which is by the insurer, linked policies enable policyholders to decide other aspects although the minimum term has to be 5 years. Sum assured, choice of funds, term beyond 5 years can be decided by the policyholder.

Q 31. In India, the insurer has to be a Corporation or a Company incorporated under the _____.

- ☐ The SEBI Act
- ☐ The Companies Act
- ☐ The RBI Act
- ☐ The IRDAI
- ☐ The Insurance Act

☒ UnAttempted

CORRECT ANSWER:

The Companies Act

Q 32. In which policy can Commutation be done ?

- ☐ Health Insurance Policy
- ☐ Pension policy
- ☐ Endowment policy
- ☐ Unit linked saving policy
- ☐ Term insurance policy

☒ UnAttempted

CORRECT ANSWER:

Pension policy

Explanation:

Commutation is defined as giving up part or all of the pension payable from retirement in exchange for an immediate lump sum.

Q 33. Which of the following statement(s) is/are FALSE with respect to Micro Insurance ?

- ☐ Micro Insurance can be done by both Life and Nonlife general insurers as per the tie ups
- ☐ A life insurer can collect premium for issuing a policy covering both life and non life risks
- ☐ A life insurer has to settle claims for non life policies issued by it
- ☐ A non life insurer has to pass on the premium collected for policies covering life risks to the life insurer
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

A life insurer has to settle claims for non life policies issued by it

Explanation:

IRDA regulations issued in 2005 regarding micro-insurance allows for insurers to issue life and general insurance for small sums (Rs. 50 to Rs. 50,000) through mutual tie-ups.

A general insurer may issue a life policy together with a general insurance policy but they must pass the life insurance premium on to a life insurer with whom they have a tie-up and the claim for the life policy must be settled by the life insurer.

Q 34. When the premium is paid just once at the start of the policy, such policy is called _____ .

- ☐ One premium policy
- ☐ Limited premium policy
- ☐ Single premium policy
- ☐ Special premium policy
- ☐ Bulk premium policy

☒ UnAttempted

CORRECT ANSWER:

Single premium policy

Explanation:

When all the premiums are paid in the first year itself, at the start of the policy, its called a Single Premium Policy.

Q 35. RTI means _____ .

- ☐ Right to infrastructure
- ☐ Right to information
- ☐ Right to immunity
- ☐ Right to intelligence
- ☐ Right to inside information

☒ UnAttempted

CORRECT ANSWER:

Right to information

Explanation:

The Right to Information Act, 2005 has assumed considerable importance as a way of achieving better accountability and governance.

Q 36. The insurer being a legally constituted corporation is competent to contract for insurance _____ .

- ☐ Only if it has invested huge money in the business initially
- ☐ If it has collaborated with a foreign insurance company as a partner
- ☐ Only if it has a capacity to be profitable
- ☐ If the management is from business & insurance background
- ☐ If it is licensed to transact in insurance business

☒ UnAttempted

CORRECT ANSWER:

If it is licensed to transact in insurance business

Explanation:

The insurer has to be compulsorily licensed by IRDA.

Q 37. Which of these acts is not relevant to an insurance agent ?

- ☐ The Insurance Act
- ☐ The Companies Act
- ☐ The Income Tax Act
- ☐ The IRDA Act
- ☐ The Contract Act

☒ UnAttempted

CORRECT ANSWER:

The Companies Act

Q 38. If both prevention and retention of risks are seen to be unavailable as options, _____ .

- ☐ The risk has to be passed on to another person, partly if not wholly , so that the risk may be shared
- ☐ The risk has to be avoided
- ☐ Do nothing about it and accept it as a work of god
- ☐ All of the above
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

The risk has to be passed on to another person, partly if not wholly , so that the risk may be shared

Explanation:

One way of handling risks is to transfer them to someone who can handle them properly. In simple words, the process of transferring risks from one person who does not have the capacity to bear them to someone who does have the capacity for them, is known as insurance.

Q 39. Why should the insurance company has to be a corporation or a company under the law ?

- ☐ This gives stability and perpetuality to the insurance business
- ☐ They will continue to exist even after the death of owners
- ☐ They are usually big companies
- ☐ All of the above
- ☐ Only option 1 and 2

☒ UnAttempted

CORRECT ANSWER:

All of the above

Q 40. Which of the following statement is INCORRECT regarding payments of an Insurance company ?

- ☐ payment to suppliers for goods supplied
- ☐ payment of salaries to employees
- ☐ payment of commission to agents
- ☐ payment of premium to policy holders
- ☐ payment of taxes to the Government

☒ UnAttempted

CORRECT ANSWER:

payment of premium to policy holders

Explanation:

Premium is collected from policy holders and not paid.

Q 41. How does the Carriers Act find relevance in insurance contracts ?

- ☐ The act provides for compulsory third party insurance of motor vehicles
- ☐ The act defines the rights and liabilities of truck owners for goods carried by road
- ☐ The act defines the liability of the Govt. for loss or damage to goods in transit by post
- ☐ The act clarifies the responsibilities, liabilities, rights and immunities of ship owners in respect of loss or damage to cargo carried
- ☐ The act defines the rights and liabilities of airlines for goods carried by air

☒ UnAttempted

CORRECT ANSWER:

The act defines the rights and liabilities of truck owners for goods carried by road

Explanation:

In Carriers Act - "Common carrier" denotes a person, other than the Government, engaged in the business of transporting for hire property from place to place, by land or in land navigation, for all persons indiscriminately.

So the liability is only for goods carried on land.

Q 42. Who are mainly responsible to keep customers happy ?

- ☐ Brokers
- ☐ Underwriters
- ☐ Agents
- ☐ Only option 2 and 3
- ☐ All of the above

☒ UnAttempted

CORRECT ANSWER:

Agents

Explanation:

The agents form part of direct channel and represent chunk of business transacted by an Insurance Company.

Q 43. The Insurance Act has strict provisions for investment of insurance funds in _____.

- ☐ Government Bonds
- ☐ Companies with stable track record
- ☐ Stock Markets
- ☐ Currency Markets
- ☐ Both 1 and 2

☒ UnAttempted

CORRECT ANSWER:

Both 1 and 2

Explanation:

Insurance funds are used for investments and lead to economic growth. To make sure that the funds are not invested in high risk investment the Insurance Act has strict guidelines ensuring the money is invested safely in investments such as Government bonds and companies that have stable financial positions.

Q 44. Mr. Vijay has taken an Endowment Assurance Policy and he wants to transfer all the rights under this policy to his wife solely. What should Mr. Vijay do ?

- ☐ Assignment
- ☐ Nomination
- ☐ Surrender
- ☐ Conversion
- ☐ Contract

☒ UnAttempted

CORRECT ANSWER:

Assignment

Explanation:

The nominee is the person to whom the insurance claim amounts would be payable, in case of the policyholder's death. The policy is usually taken to benefit one's family and the nominee would normally be a person who will look after the welfare of the family in the life insured's absence.

However, assignment is a transfer of rights, title and interest of the life insurance policy to a person. It overrides the nomination. The assignee acquires the complete title of the policy and can sue under the policy.

Q 45. Mr. Ramesh works in the IT department of a private bank. His job is to check all systems and servers of the branch where he is placed. In this case the internal customers of Mr. Ramesh are _____.

- ☐ The Managing Director of the bank
- ☐ The customers of the bank branch
- ☐ The employees of the branch who are dependent on the systems
- ☐ The fixed deposit holders of the bank branch
- ☐ All of the above

☒ UnAttempted

CORRECT ANSWER:

The employees of the branch who are dependent on the systems

Q 46. Which ratio reflects the overall underwriting profitability of a company ?

- ☐ PE ratio
- ☐ Surrender ratio
- ☐ Combined ratio
- ☐ Loss ratio
- ☐ Surrender ratio

☒ UnAttempted

CORRECT ANSWER:

Combined ratio

Explanation:

The combined figure of loss ratio plus expense ratio is called the combined ratio and this figure reflects the overall underwriting profitability.

Q 47. A broker who places insurance business with a primary insurer is known as _____ .

- ☐ Reinsurance broker
- ☐ Composite broker
- ☐ Direct broker
- ☐ Primary broker
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

Direct broker

Explanation:

A Direct broker places business with the primary insurer.

Q 48. To make an insurance business successful, the key parameter(s) is/are _____ .

- ☐ Customer service
- ☐ Customer centricity
- ☐ Ease of access
- ☐ Innovative products
- ☐ All of above

☒ UnAttempted

CORRECT ANSWER:

All of above

Q 49. Which of the following statements is INCORRECT with reference to complaints to insurance Ombudsman ?

- ☐ Any delay in settlement of claim
- ☐ Any partial or total repudiation of claims by the insurance companies
- ☐ Non-issuance of any insurance document to customers after receipt of premium
- ☐ Any dispute on the legal construction of the policy wordings in case such dispute relates to claims
- ☐ Cases where redressal amount is less than Rs 10 lakhs

☒ UnAttempted

CORRECT ANSWER:

Cases where redressal amount is less than Rs 10 lakhs

Explanation:

The maximum limit for the amount under dispute for which the Ombudsman can entertain a complaint is up to Rs.20 lakhs.

Q 50. The actual loss arising out of a _____ includes costs of repair, replacement or reinstatement and consequential losses.

- ☐ risk
- ☐ hazard
- ☐ peril
- ☐ accident
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

peril

Explanation:

The actual loss arising out of a peril striking includes costs of (a) repair, replacement or reinstatement and (b) consequential losses until repair, replacement or reinstatement.